approach to central planning of the economy, where officials have considerable control over the life of private persons, is uncomfortably close to the administrative state.

Economists have emphasized the role of the judiciary in contract enforcement, which enables the market economy. While contract enforcement is important, the more important role for judicial capacity lies in private solutions to market failure.

Negative externalities can be solved through the law of torts, as long as litigation is efficacious. Many classic problems of asymmetric information, where we do consumer protection, can be addressed through torts. When many people are adversely affected in a problem like pollution from a factory, the collective action problem can be solved through class action suits. When private people are able to sue, and state agencies do not have a monopoly on enforcing laws, this reduces the reliance on state agencies for enforcing laws.

The agenda of economic freedom in India is ultimately about scaling back the administrative state. This journey runs through great improvements in the courts.